

The Human-AI Partnership Framework

Where human judgment belongs

Order-to-Cash

PCF 9.2 — Invoice, AR & collections — Value Stream Profile

This value stream comprises one APQC PCF process group: 9.2 Perform Revenue Accounting — spanning 5 Level 3 processes and 30 Level 4 activities.

At the activity level, this value stream's work breaks down as 13 Transaction activities, 6 Knowledge activities, 6 Document activities, 4 Decision activities (judgment-and-authority gates that stay human by design), and 1 Exception activity — a non-standard case requiring human resolution.

At M3 (HITL Design Intent), the value stream's aggregate human-involvement ratio is 48%, down from a 72% undesigned baseline — a 24-point AI convergence opportunity.

L3 PROCESSES	L4 ACTIVITIES	M1 BASELINE H%	M3 DESIGN INTENT H%	Δ M1 → M3
5	30	72%	48%	-24%

KPIs

Business Impact Metric & Formula (where confirmed)	Source
Days Sales Outstanding (DSO) <i>(Accounts Receivable ÷ Total Credit Sales) × Number of Days in Period</i>	Credit Research Foundation (CRF)
Collection Effectiveness Index (CEI) <i>[(Beginning AR + Credit Sales – Ending Total AR) ÷ (Beginning AR + Credit Sales – Ending Current AR)] × 100</i>	Credit Research Foundation (CRF)
Bad debt / write-off ratio <i>Bad debt write-offs ÷ total credit sales for the period</i>	APQC OSB
Deduction resolution cycle time <i>Average calendar days from deduction/dispute creation to resolution or write-off</i>	APQC OSB

Design Narrative

Order-to-Cash is the cleanest single-owner value stream in PCF 9.0: Director of Accounting holds Accountable for all 5 of the stream's L3s — customer credit (9.2.1), invoicing (9.2.2), accounts receivable (9.2.3), collections (9.2.4), and adjustments/deductions (9.2.5). AP/AR Specialist carries Responsible across nearly all of that work, a consistent Managerial-owns/Operational-executes pattern throughout. This value stream also carries one of PCF 9.0's four Exception-pattern activities — 9.2.4.7 (Manage default accounts) — reflecting how collections work inevitably produces cases that fall outside standard policy. Its steepest AI-absorption opportunity sits in 9.2.1.1 (Establish credit policies, Document-pattern, -32 points).

AI Capability Map

Pattern-type distribution across this value stream's activity units. H% figures are the pattern type's standard value at each maturity level, applied consistently across all PCF domains.

Decision <i>Judgment & Authority — gates that stay human by design</i> 4 L4 activities M1 92% → M3 80%	Knowledge <i>Synthesis & Interpretation — judgment-driven work</i> 6 L4 activities M1 85% → M3 65%	Document <i>Content Generation — drafting and communication</i> 6 L4 activities M1 72% → M3 40%	Transaction <i>Rules-Based Processing — suited to automation</i> 13 L4 activities M1 60% → M3 35%	Exception <i>Non-Standard Resolution — human-resolved by nature</i> 1 L4 activities M1 95% → M3 82%
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Process Accountability

Process Accountability	Tier	L3 Processes	L4 Activities
Director of Accounting	Managerial	9.2.1, 9.2.2, 9.2.3, 9.2.4, 9.2.5	30

Handoff Points

Order-to-Cash opens with credit-policy setting and account approval (9.2.1), then hands to invoicing (9.2.2) once a customer account is cleared to transact.

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Invoicing output feeds accounts receivable processing (9.2.3) — payment application and AR reporting — which in turn feeds collections (9.2.4) for any balance that ages past terms.

Adjustments/deductions (9.2.5) runs alongside collections as its own lane, closing out chargebacks and disputed amounts before the stream's outputs (aging reports, AR ledger) hand off to Record-to-Report's general-ledger posting.

Governed Decision Points

Every Decision/Exception-pattern activity in the value stream, including those embedded inside Mixed-labeled steps.

PCF	Decision	Authority	Impact	Escalates To	Trigger
9.2.1.2	Analyze/Approve new account applications	Director of Accounting	Financial — sets customer credit exposure and payment terms	VP Controller (Executive)	Requested credit limit exceeds Director of Accounting's standing authorization threshold or the customer carries an elevated risk profile
9.2.4.6	Perform recovery workout	Director of Accounting	Financial — restructures or reduces a receivable balance	VP Controller (Executive)	Recovery workout requires balance forgiveness or payment-term concessions beyond standard collections policy
9.2.4.7	Manage default accounts	Director of Accounting	Financial + Compliance — write-off exposure and possible referral to external collections or legal counsel	VP Controller (Executive)	Account moves to formal default status, triggering write-off approval or third-party collections/legal referral

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